



How buy/sell agreements add value for business clients

A buy/sell agreement stipulates what happens upon the death, retirement, disability or other triggering events that requires the withdrawal of a shareholder. It is a contractual obligation that their share must be purchased by the remaining partners or shareholders.

Here are three reasons why it is necessary for you to consider a buy/sell agreement:



Creates Liquidity at Fair Market Value

A buy/sell agreement creates an obligation for the shares to be purchased and sold, which ensures your family receives the **Fair Market Value** of the shares in a timely manner.



Protection for Remaining Shareholders

A buy/sell agreement provides assurance to the remaining shareholders that they can maintain control, that all shareholders have the same goals and objectives to ensure that the business will continue to exist and maintain its culture.



Determines Value and Required Funding

A buy/sell agreement stipulates that owners/shareholders agree to a fair market price. This reduces the risk of costly valuation disputes and lengthy business audits. Properly structured, Insurance provides the necessary funding to buy the shares at the exact time it is needed.

Life insurance options available from Co-operators

A business can use life insurance and critical illness coverage to fund the buyout outlined by their buy/sell agreement. If an insured partner dies or develops a contractually covered critical illness and they qualify for the benefit, the business or other owners/shareholders receive the insurance payout and can use it to complete the buyout. Options available from Co-operators include:

VersatileTerm™

Term plans offer affordable, guaranteed premiums for a specific duration, with a yearly renewable term thereafter. Our Versatile Term insurance includes:

- Coverage amounts of \$25,000 to \$10 million
- Term lengths of 10, 15, 20, 25 or 30 years
- Affordable, guaranteed premium rates during the initial term duration
- Guaranteed renewal rates with annual increases
- Preferred rates to those who qualify
- The option to convert to a permanent plan without additional underwriting

CriticalAssist®

Critical Illness coverage provides financial protection if a key person is diagnosed with a life-altering illness and is unable to work. Our Critical Assist product includes:

- Coverage amounts of \$25,000 to \$2 million
- Term lengths of 10 and 25 years or level to age 75
- Affordable, guaranteed premium rates during the initial term duration, with guaranteed renewal rates in stepped increments thereafter
- Benefits are paid to the policyowner through a tax-free lump sum
- 29 covered conditions (25 full-payment conditions and four partial-payment, early-assist conditions)
- Access to top quality physicians and medical advice through the Teladoc® Medical Experts
- Option to add a Premium Payback at Expiry or Premium Payback at Surrender

Clients can choose our Critical Assist 20-Pay product that allows owners/shareholders to pay a level premium for 20 years, after which the policy becomes paid-up and no further premiums are due.

Important note: A buy/sell agreement is a legal document that should be drafted by a lawyer. Services of an accountant are required to establish a value for the business. Shareholders will need to apply and medically qualify for insurance protection.

